

understand the natural forces that drive behavior, for good or for bad. In the endowment world, for example, quasi-academic norms of debate and deliberate, collective decision-making help endowments make carefully considered long-term decisions. At the same time, the fact that decisions can almost always be postponed another week without discernable impact often leads to suboptimal outcomes in areas such as building internal data systems and new manager sourcing, where a strong sense of urgency might lead to better results. Endowments that understand their natural tendencies and create processes and cultural norms to lean against them, where appropriate, have a better chance of success.

In the Graham and Dodd world of stock picking and direct asset purchases, and in the endowment world of manager selection, one feature of the investment landscape that leads to suboptimal outcomes is an overabundance of choice. Investors have the opportunity to select from among thousands of different securities across dozens of industries and countries (or in the case of endowments, invest with thousands of different investment managers.) While it would seem beneficial to have a significant number of choices, human nature unfortunately tends to translate this cornucopia of riches into a lack of focus and a resulting inability to develop a competitive advantage over other market participants. Our curiosity, love of novelty, and the dopamine rush of a new piece of information (or new twitter post) push us to look at too many ideas, collect too many unimportant pieces of data, and debate too many unknowable or irrelevant issues. As a result, very few investors develop the well-defined, differentiated expertise that leads to compelling investment outcomes.

The length and depth of *Security Analysis* provides a solution to this excess of choice. In page after page, Graham and Dodd describe and provide examples of the characteristics they are looking for in a compelling investment, what characteristics to avoid, and how to